Type MS · Small and large firms, and why firms stay small

Answer 1 of 10 · Question 2 part f · 3 marks

2023 JAN · Paper 01 · extract 1 of 6 · find part f in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **D** Oligopoly A is not correct because it does not show employment levels B is not correct because this is a sector not a market C is not correct because there is more than one firm	**(1)**

Question number	An increase in which one of the following is most likely to increase productivity? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **C** Irrigation A is not correct because this is likely to reduce productivity B is not correct because this increases time and costs D is not correct because this increases tasks for the firm to carry out	**(1)**

Question number	What is meant by the term barriers to entry? **Answer**	**Mark**
2(c)	**AO1 2 marks** Award 1 mark for reference to obstacles and 1 mark for reference to making it difficult for new firms to enter a market These are obstacles **(1)** that make it difficult for a new firm to enter a market **(1)** Accept any other appropriate response	**(2)**

Type MS · Small and large firms, and why firms stay small

Answer 1 of 10 · Question 2 part f · 3 marks

2023 JAN · Paper 01 · extract 2 of 6 · find part f in this mark scheme extract

Question number	Calculate the total costs per month for the firm. You are advised to show your working. **Answer**	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation $57 000 + ($750 x 1820) **(1)** Award 1 mark for correct total costs = $1 422 000 **(1)** Award 2 marks if total costs per month are correctly calculated as $1 422 000, even if no calculations are shown Award 1 mark for 1 422 000, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Describe one disadvantage for a government of using subsidies. **Answer**	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the disadvantage and 1 mark for development of the disadvantage • There may be an opportunity cost. **(1)** The money spent on the subsidy may be more effective if spent on other government projects **(1)** Accept any other appropriate response	**(2)**

Type MS · Small and large firms, and why firms stay small

Answer 1 of 10 · Question 2 part f · 3 marks

2023 JAN · Paper 01 · extract 3 of 6 · find part f in this mark scheme extract

Question number	Explain one reason why Heather may have decided to keep her business small. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • The size of the market. **(1)** There may already be a high number of restaurants in the area **(1)** meaning Heather does not want to try to compete with other restaurant chains **(1)** • Access to finance may be difficult for a small business **(1)** because banks/lenders may believe it is too much of a risk, **(1)** so Heather may not be able to afford to buy the new premises necessary to open another restaurant **(1)** Accept any other appropriate response	**(3)**

Type MS · Small and large firms, and why firms stay small

Answer 1 of 10 · Question 2 part f · 3 marks

2023 JAN · Paper 01 · extract 4 of 6 · find part f in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the extent to which a merger between CK Hutch and Indosat is likely to lead to economies of scale. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Economies of scale occur when average costs decrease as a firm expands • A merger between CK Hutch and Indosat would lead to a new, larger telecommunications firm • Larger firms can usually operate at a lower unit cost than smaller firms due to the ability to make bulk purchases, combine marketing expenses and share technology • The new firm is likely to attract more customers, requiring a need to purchase more equipment. This could be done at a lower price per unit • Advertising of both CK Hutch and Indosat could be combined, reducing the advertising costs • As both firms would have used research and development departments, a merger would allow these to combine to reduce costs • This means economies of scale are likely to be enjoyed if the firms merge **AO4** • Economies of scale do not always occur or give the expected results • This expansion could result in pushing the merged firm beyond the minimum efficient scale, leading to diseconomies of scale • Diseconomies occur when average costs increase as a firm expands • Communication problems may occur due to the increased number of employees • There may be more bureaucracy due to the increased size of the firm • A larger gap between the management and the employees may occur due to the higher number of employees which could lead to reduced control • As Indosat's +60 million customer base is growing, this could result in further diseconomies of scale

Type MS · Small and large firms, and why firms stay small

Answer 1 of 10 · Question 2 part f · 3 marks

2023 JAN · Paper 01 · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Small and large firms, and why firms stay small

Answer 1 of 10 · Question 2 part f · 3 marks

2023 JAN · Paper 01 · extract 6 of 6 · find part f in this mark scheme extract

Question number	Which one of the following could be described as an economic need? **Answer**	Mark

Type MS · Small and large firms, and why firms stay small

Answer 2 of 10 · Question 1 part i · 6 marks

2019 JUN · Paper 01 (regional R) · extract 1 of 6 · find part i in this mark scheme extract

1(a)	**AO1 1 mark** A Large firms dominate	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** C $ 60 000	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to a good for which the rise in demand is proportionally more than that of income and 1 mark for reference to income elasticity of demand being greater than one • A good for which income elasticity of demand is greater than 1 **(1)** the proportionate change in demand is greater than the proportionate change in income **(1)** OR • Luxury goods are products that are not essential **(1)** but are highly desired and associated with wealthy people **(1)**	**(2)**

Type MS · Small and large firms, and why firms stay small

Answer 2 of 10 · Question 1 part i · 6 marks

2019 JUN · Paper 01 (regional R) · extract 2 of 6 · find part i in this mark scheme extract

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for one correct factor • Factors of production • Availability of stocks • Spare capacity • Time	**(1)**

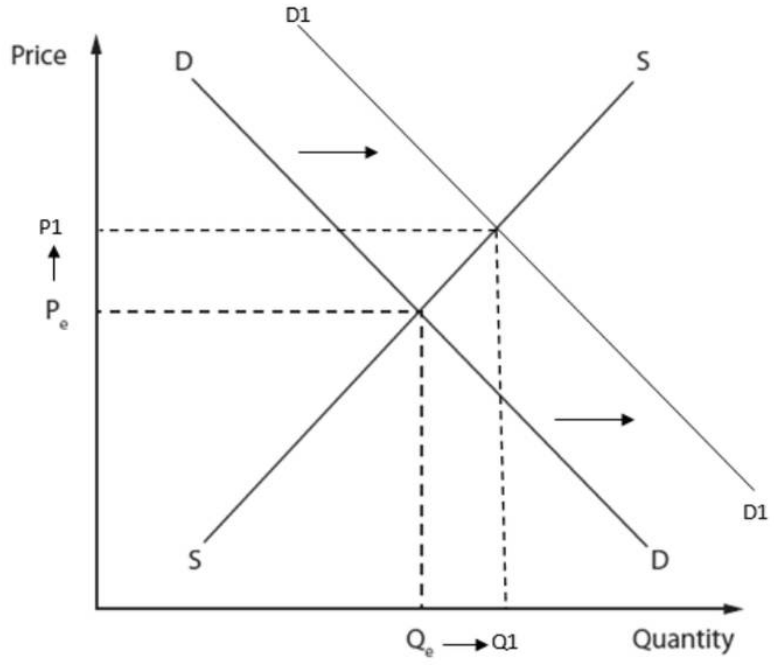
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for reference to a good bought as an alternative to another good Goods which are used as an alternative to another good	**(1)**

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 3.9 ÷ 5.2 **(1)** Award 1 mark for correct price elasticity of supply (PES) = 0.75 **(1)** Award 2 marks if PES is correctly calculated, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Small and large firms, and why firms stay small

Answer 2 of 10 · Question 1 part i · 6 marks

2019 JUN · Paper 01 (regional R) · extract 3 of 6 · find part i in this mark scheme extract

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Small and large firms, and why firms stay small

Answer 2 of 10 · Question 1 part i · 6 marks

2019 JUN · Paper 01 (regional R) · extract 4 of 6 · find part i in this mark scheme extract

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant disadvantage Award 1 mark for developing the disadvantage Award 1 mark for the response being in the context of Robert's wood carving business • One disadvantage is that the price may be higher **(1)** this is due to a lack of choice **(1)** because there are no other local wood carvers that customers can use **(1)** • One disadvantage is that it may take a long time to receive the order **(1)** because Robert is a small business and he is working alone **(1)**, and it takes time for him to make each individual door sign **(1)** Accept any other appropriate response	**(3)**

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Robert may have decided it could be too time consuming and difficult to obtain additional finance in order to expand • Robert is operating in a niche market, meaning he can specialise in the requirements of his customers rather than mass production • As the door signs and gifts are made to order, and to the requirements of the customer, Robert prefers to stay small and focus on their individual needs • Robert is an entrepreneur and may have different aims to the more typical profit maximisation of some firms • He may feel that working from home, providing a high quality specialised customer service is more important • The size of the market for speciality carvings may not warrant expansion

Type MS · Small and large firms, and why firms stay small

Answer 2 of 10 · Question 1 part i · 6 marks

2019 JUN · Paper 01 (regional R) · extract 5 of 6 · find part i in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Small and large firms, and why firms stay small

Answer 2 of 10 · Question 1 part i · 6 marks

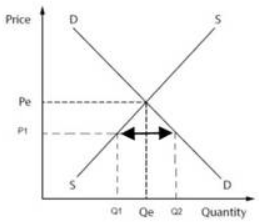
2019 JUN · Paper 01 (regional R) · extract 6 of 6 · find part i in this mark scheme extract

Question number	Answer	Mark

Type MS · Small and large firms, and why firms stay small

Answer 3 of 10 · Question 2 part h · 9 marks

2020 JAN · Paper 01 · extract 1 of 6 · find part h in this mark scheme extract

2(a)	**AO2 1 mark** **A**  	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** **B** A factor of production	**(1)**

Question number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for correct formula in words/as an equation Total revenue minus total costs	**(1)**

Question number	Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation 36 ÷ 30 **(1)** Award 1 mark for correct price elasticity of supply (PES) = 1.2 **(1)** Award 2 marks if PES is correctly calculated as 1.2, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Small and large firms, and why firms stay small

Answer 3 of 10 · Question 2 part h · 9 marks

2020 JAN · Paper 01 · extract 2 of 6 · find part h in this mark scheme extract

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for reference to money used by a business Funding for a firm Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for the type of business competition and 1 mark for development of the response The Irish Artisan Charcoal Company (IACC) is a monopoly **(1)** as there are no other firms producing charcoal in Ireland **(1)** Accept any other appropriate response	**(2)**

Type MS · Small and large firms, and why firms stay small

Answer 3 of 10 · Question 2 part h · 9 marks

2020 JAN · Paper 01 · extract 3 of 6 · find part h in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in the context • One reason is that public goods are non-excludable **(1)** meaning that everyone walking/driving along the street would benefit from the lighting **(1)** whether or not they pay anything towards it through taxes **(1)** • One reason is that there is non-rivalry for public goods **(1)** meaning that one person walking/driving along the street is not preventing another person from benefitting from street lighting **(1)** whether or not they pay anything towards it through taxes **(1)** Accept any other appropriate response	**(3)**

Type MS · Small and large firms, and why firms stay small

Answer 3 of 10 · Question 2 part h · 9 marks

2020 JAN · Paper 01 · extract 4 of 6 · find part h in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Small firms can offer a personal service so they can meet the needs of the customer more specifically than large firms • Wonderful Wax produces handmade candles and so the personal service offered maybe more likely to attract customers, bringing in more sales • The service offered by Elissa's small firm could cater for a niche part of the market and so some customers may pay higher prices for the candles • By operating a small firm, Elissa is able to maintain control of her business and help the environment by producing candles made with soy wax and essential oils • Increasing production of the candles may mean they can no longer be handmade and Wonderful Wax may lose its identity **AO4** • However, small firms may struggle to meet demand and so may lose customers • Wonderful Wax could potentially sell many more environmentally-friendly candles through use of the production facilities on offer, thus further meeting Elissa's original objective to help the environment • Unit costs of a small firm are likely to be higher as it cannot exploit economies of scale and therefore the profits might be lower • A large firm is more likely to be able to compete should other firms set up selling environmentally-friendly candles

Type MS · Small and large firms, and why firms stay small

Answer 3 of 10 · Question 2 part h · 9 marks

2020 JAN · Paper 01 · extract 5 of 6 · find part h in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Small and large firms, and why firms stay small

Answer 3 of 10 · Question 2 part h · 9 marks

2020 JAN · Paper 01 · extract 6 of 6 · find part h in this mark scheme extract

Question number	Answer	Mark

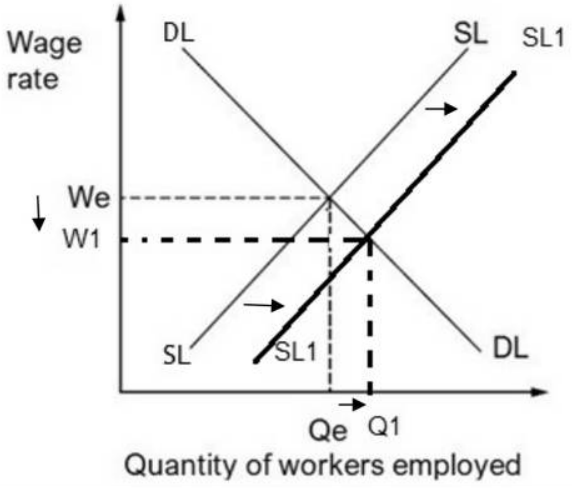
Type MS · Small and large firms, and why firms stay small

Answer 4 of 10 · Question 3 part a · 1 mark

2020 NOV · Paper 01 (regional R) · extract 1 of 5 · find part a in this mark scheme extract

3(a)	**AO1 1 mark** **B** Flexibility	**(1)**

Question number	Answer	Mark
3(b)	**AO1 1 mark** **D** Price inelastic	**(1)**

Question number	Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for rightward shift of labour supply, labelled Award 1 mark for lower equilibrium wage rate, labelled Award 1 mark for higher equilibrium quantity of workers employed, labelled  	**(3)**

Type MS · Small and large firms, and why firms stay small

Answer 4 of 10 · Question 3 part a · 1 mark

2020 NOV · Paper 01 (regional R) · extract 2 of 5 · find part a in this mark scheme extract

Question number	Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Collusion is where a firm in an oligopoly cooperates with its competitors • It is an anti-competitive practice because it makes firms such as those in the pharmaceutical industry, act like a monopoly • This means it is more difficult for new firms to enter the market and reduces the choice for consumers • This could make it more difficult for consumers to find cheaper medication or to have less choice of the firm they buy from • Collusion to fix prices could lead to the pharmaceutical firms receiving higher profits at the expense of the consumer • One such example of price fixing for prescribed medication was the consumer paying $4.70 instead of just $0.13 per tablet

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Small and large firms, and why firms stay small

Answer 4 of 10 · Question 3 part a · 1 mark

2020 NOV · Paper 01 (regional R) · extract 3 of 5 · find part a in this mark scheme extract

Question number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The public sector is a part of the economy which is owned by the government and which operates in the public interest • By providing funding for roads in Cambodia, repairs could be made to the > half of the 6,000 km of roads in need of maintenance • This could improve the safety standard of roads and lead to fewer accidents, meaning more people are available to work in the Cambodian economy • It could also allow construction of new roads that can cope with increased business in Cambodia • This would most likely create positive externalities for Cambodian businesses that could benefit from cheaper/quicker transportation of goods • This would mean business could continue to grow in Cambodia, providing more revenue for the government through taxes **AO4** • However, the cost of improving the roads means less government revenue would be available for other things such as health and education • Therefore the Cambodian economy may not benefit as much from public sector investment to improve the roads as if the money was invested elsewhere • There is a high number of roads 'of poor quality' meaning it may take a long time for the Cambodian economy to benefit from the public sector investment • If the Cambodian economy continues to grow, further construction of roads may be needed and the public sector investment may not be able to keep up with the growth

Type MS · Small and large firms, and why firms stay small

Answer 4 of 10 · Question 3 part a · 1 mark

2020 NOV · Paper 01 (regional R) · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–3**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	**4–6**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	**7–9**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Small and large firms, and why firms stay small

Answer 4 of 10 · Question 3 part a · 1 mark

2020 NOV · Paper 01 (regional R) · extract 5 of 5 · find part a in this mark scheme extract

Question number	Answer	Mark

Type MS · Small and large firms, and why firms stay small

Answer 5 of 10 · Question 2 part c · 1 mark

2021 NOV · Paper 01 · extract 1 of 6 · find part c in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **B** X A is not correct because there will be no unemployed resources C is not correct because it is not achievable D is not correct because all resources will be fully employed	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** The only correct answer is: **C** employee rights A is not correct because consumers are not members of the union B is not correct because this is not the responsibility of a trade union D is not correct because trade unions are independent of the government	**(1)**

Question number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for a correct reason • Size of market • Nature of market (niche) • Lack of finance • Aims of the entrepreneur Accept any other appropriate response	**(1)**

Type MS · Small and large firms, and why firms stay small

Answer 5 of 10 · Question 2 part c · 1 mark

2021 NOV · Paper 01 · extract 2 of 6 · find part c in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation 2.7/4.9 **(1)** Award 1 mark for correct PES = 0.55 **(1)** Award 2 marks if PES is correctly calculated as 0.55, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for reference to a firm setting the market price A dominant firm sets the price in the market Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason A computer can be used to help make goods and services **(1)** therefore a computer is capital **(1)** Accept any other appropriate response	**(2)**

Type MS · Small and large firms, and why firms stay small

Answer 5 of 10 · Question 2 part c · 1 mark

2021 NOV · Paper 01 · extract 3 of 6 · find part c in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant factor Award 1 mark for developing the response Award 1 mark for the response being in context • Access to finance. **(1)** Abi would need to obtain more money to be able to move to larger premises. **(1)** She may not have enough/be able to borrow enough finance to fund the expansion **(1)** Accept any other appropriate response	**(3)**

Type MS · Small and large firms, and why firms stay small

Answer 5 of 10 · Question 2 part c · 1 mark

2021 NOV · Paper 01 · extract 4 of 6 · find part c in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Negative externalities are spillover effects on third parties due to consumption/production • Pollution is an example of a negative externality because it is created by high volumes of traffic and has an external cost to people in Jakarta • One method of government intervention to reduce negative externalities is the use of regulation • These regulations will limit the amount of pollution produced and reduce the externalities • The Indonesian Government introduced the traffic-free regulation in an attempt to reduce pollution levels in Jakarta because less traffic should lead to less fumes being emitted into the environment • The regulation covers over 8 km of Jakarta's streets on a Sunday, meaning a section of the city is not subjected to the negative externality of traffic fumes during this time • In 2016 air-quality had improved by 65% since the regulations were introduced, meaning the regulations have been quite effective in reducing the negative externality **AO4** • However, there is no guarantee that the reduced pollution level is a direct result of the traffic-free regulation • Other measures may be in place such as the taxation on fuel • The effectiveness of the regulations depends on the level of enforcement from the government and cooperation from the public • The number of vehicles registered in the area is increasing, meaning that pollution is also likely to increase again • There are likely to be other factors causing pollution in the city, such as from factories

Type MS · Small and large firms, and why firms stay small

Answer 5 of 10 · Question 2 part c · 1 mark

2021 NOV · Paper 01 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Small and large firms, and why firms stay small

Answer 5 of 10 · Question 2 part c · 1 mark

2021 NOV · Paper 01 · extract 6 of 6 · find part c in this mark scheme extract

Question number	Answer	Mark

Type MS · Small and large firms, and why firms stay small

Answer 6 of 10 · Question 2 part b · 1 mark

2022 JUN · Paper 01 (regional R) · extract 1 of 6 · find part b in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **C** Increase in female participation A is not correct because this would lead to a decrease in the supply of labour B is not correct because this would lead to a decrease in the supply of labour D is not correct because this would lead to a decrease in the supply of labour	**(1)**

Question number	Answer	Mark
2(b)	**AO2 1 mark** The only correct answer is: **C** Niche A is not correct because this is where there is one dominant seller in the market B is not correct because this relates to the demand and supply of labour D is not correct because this does not relate to manufacturing to customer requirements	**(1)**

Question number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for correct formula in words/as an equation $\frac{\text{\% change in quantity supplied}}{\text{\% change in price}}$	**(1)**

Type MS · Small and large firms, and why firms stay small

Answer 6 of 10 · Question 2 part b · 1 mark

2022 JUN · Paper 01 (regional R) · extract 2 of 6 · find part b in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation $12 000 + $115 000 (1) Award 1 mark for correct total variable costs = $127 000 (1) Award 2 marks if total variable costs are correctly calculated as $127 000, even if no calculations are shown Award 1 mark if the answer given is 127 000 with or without calculations shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for a correct definition Lowest legal amount paid to employees Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason There are finite/limited resources **(1)** therefore demand for resources is greater than the supply of them **(1)** Accept any other appropriate response.	**(2)**

Type MS · Small and large firms, and why firms stay small

Answer 6 of 10 · Question 2 part b · 1 mark

2022 JUN · Paper 01 (regional R) · extract 3 of 6 · find part b in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant effect Award 1 mark for developing the effect Award 1 mark for the response being in context • A price decrease would increase quantity demanded **(1)**. A decrease from $2.32 to $2.22 results in more units **(1)** because it becomes more competitive compared to substitutes **(1)** • A price increase would decrease quantity demanded **(1)**. An increase from $2.32 to $2.42 results in fewer units **(1)** because there would be a movement along the demand curve **(1)** Accept any other appropriate response	**(3)**

Type MS · Small and large firms, and why firms stay small

Answer 6 of 10 · Question 2 part b · 1 mark

2022 JUN · Paper 01 (regional R) · extract 4 of 6 · find part b in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • An oligopoly is where there are a few dominant firms, such as Vodacom, Airtel and Tigo (which have 86% of the market between them) • As a result of their dominance, these firms may be able to benefit from economies of scale and therefore enjoy lower average costs. They may pass these lower costs on to consumers in the form of lower prices • Firms like Vodacom may also be able to afford to use profits for research and development (R&D) which may lead to a better quality telecoms services for consumers • The firms in the telecoms oligopoly may try to compete in price wars and keeping prices low would benefit the consumer • They may also offer additional services to consumers who have subscribed to their networks in an attempt to gain market share from competitors **AO4** • However, if the telecoms firms have high costs due to competing via non-price competition such as advertising, they may not be able to offer low prices to consumers • Such costs may also lead to fewer firms in the market. For example Smart Telecoms had to leave the market because it could not compete with the larger firms • This would mean there are fewer firms left to compete for market share and therefore there would be less choice available for consumers • Even the successful small firms run the risk of being taken over or crowded out by dominant telecoms providers. This may be the case with the merger between Tigo and Zantel • This may increase the barriers to entry as it will be difficult for new firms to enter the market to compete with the successful, dominant firms, meaning even less choice for consumers • The firms in the oligopoly may collude in order to restrict choice and/or price competition, again causing a disadvantage to consumers

Type MS · Small and large firms, and why firms stay small

Answer 6 of 10 · Question 2 part b · 1 mark

2022 JUN · Paper 01 (regional R) · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Small and large firms, and why firms stay small

Answer 6 of 10 · Question 2 part b · 1 mark

2022 JUN · Paper 01 (regional R) · extract 6 of 6 · find part b in this mark scheme extract

Question number	Answer	Mark

Type MS · Small and large firms, and why firms stay small

Answer 7 of 10 · Question 1 part e · 1 mark

2022 JUN · Paper 01 · extract 1 of 5 · find part e in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** Enterprise A is not correct because it is not a resource used in production B is not correct because it is not used to produce goods/services D is not correct because it is consumed by diners	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** The only correct answer is: **D** $3 200 000 A is not correct because this is $160 x $120 B is not correct because this is 20 000 + $160 C is not correct because 20 000 x $120	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to an increase in demand and 1 mark for reference to increased income Goods for which demand will increase **(1)** as incomes increase **(1)** **OR** Goods for which demand will decrease **(1)** as incomes decrease **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct formula • Private benefits + external benefits	**(1)**

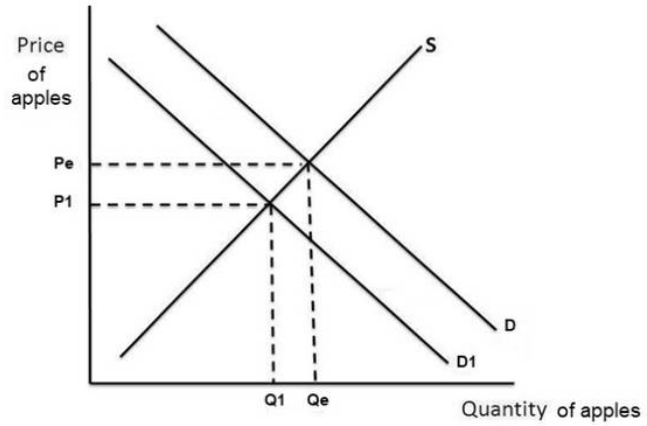
Type MS · Small and large firms, and why firms stay small

Answer 7 of 10 · Question 1 part e · 1 mark

2022 JUN · Paper 01 · extract 2 of 5 · find part e in this mark scheme extract

Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A specialised market for a particular product Accept any other appropriate response	**(1)**

	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 4.7%/5.4% **(1)** Award 1 mark for correct PES = 0.87 **(1)** Award 2 marks if PES is correctly calculated as 0.87, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for leftward shift of demand, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · Small and large firms, and why firms stay small

Answer 7 of 10 · Question 1 part e · 1 mark

2022 JUN · Paper 01 · extract 3 of 5 · find part e in this mark scheme extract

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a disadvantage Award 1 mark for developing the response Award 1 mark for the response being in context • Employees may find the work boring/monotonous **(1)** because they spend the whole day sealing boxes for the orders **(1)** and they are repeatedly doing the same task **(1)** Accept any other appropriate response	**(3)**

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Government regulation is put in place to reduce the external costs of production and consumption • Consumers are more likely to return plastic bottles because of the scheme, so they are able to get their €0.25 back • This is likely to reduce litter and the negative impact on the environment, therefore reducing negative externalities • The scheme is also cheaper for the government, meaning more funding could be available to benefit the environment • The 98.5% return rate shows the regulation is very successful and likely to reduce negative externalities significantly • More awareness of the problems caused by plastic bottles could be gained through adoption of the scheme, leading to better prevention of other plastic waste being discarded • This can have further long-term benefits for the environment

Type MS · Small and large firms, and why firms stay small

Answer 7 of 10 · Question 1 part e · 1 mark

2022 JUN · Paper 01 · extract 4 of 5 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Small and large firms, and why firms stay small

Answer 7 of 10 · Question 1 part e · 1 mark

2022 JUN · Paper 01 · extract 5 of 5 · find part e in this mark scheme extract

Question number	Answer	Mark

Type MS · Small and large firms, and why firms stay small

Answer 8 of 10 · Question 2 part f · 2 marks

2023 JUN · Paper 01 · extract 1 of 6 · find part f in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **B** Excess supply A is not correct because this would lead to a shortage of goods in the market C is not correct because lower prices may be needed to sell unsold goods D is not correct because this would not result from unsold goods in the market	**(1)**

Question number	Which **one** of the following statements is correct? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **C** Quantity supplied will fall when price falls A is not correct because this is only true when supply is fixed B is not correct because supply is affected by changes in price D is not correct because the supply curve does not shift due to a price change	**(1)**

Question number	State the name for price elasticity of demand (PED) with a numerical value of -1. **Answer**	**Mark**
2(c)	**AO1 1 mark** Award 1 mark for the correct type of price elasticity of demand (PED) • Unitary	**(1)**

Type MS · Small and large firms, and why firms stay small

Answer 8 of 10 · Question 2 part f · 2 marks

2023 JUN · Paper 01 · extract 2 of 6 · find part f in this mark scheme extract

Question number	Calculate, to two decimal places, the **price elasticity of supply (PES)** for shoes. You are advised to show your working. **Answer**	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation -2.7%/-1.9% **(1)** Award 1 mark for correct PES 1.42 **(1)** Award 2 marks if PES is correctly calculated as 1.42, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Define the term substitute. **Answer**	Mark
2(e)	**AO1 1 mark** Award 1 mark for a correct definition • An alternative bought/produced in place of something else Accept any other appropriate response	**(1)**

Question number	Describe **one** reason why a firm might stay small. **Answer**	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason • It may already be making enough money **(1)** to satisfy the needs of the owner **(1)** • The size of the market may be small **(1)** which means expansion is difficult **(1)** Accept any other appropriate response	**(2)**

Type MS · Small and large firms, and why firms stay small

Answer 8 of 10 · Question 2 part f · 2 marks

2023 JUN · Paper 01 · extract 3 of 6 · find part f in this mark scheme extract

Question number	Explain **one** advantage of positive reviews for the owners of food stalls in Taba. **Answer**	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage Award 1 mark for developing the advantage Award 1 mark for the advantage being in context • Stalls offering quality food will gain more customers **(1)** because customers will be attracted by the positive reviews **(1)** instead of buying from competitors **(1)** • Demand will increase for food from these stalls **(1)** leading to an increase in revenue **(1)** which will increase profit for the food stall owners **(1)** Accept any other appropriate response	**(3)**

Type MS · Small and large firms, and why firms stay small

Answer 8 of 10 · Question 2 part f · 2 marks

2023 JUN · Paper 01 · extract 4 of 6 · find part f in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess whether a monopoly such as PKP is likely to benefit consumers. **Indicative content**
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • A monopoly is a market structure with one dominant seller in the market • PKP is the main rail carrier for passenger and freight services in Poland, making it a monopoly • Due to its dominance of the rail network in Poland, PKP may be able to take advantage of economies of scale • This means that the firm may have low (long-run) average costs as a result of purchasing or technical economies of scale • Therefore, it is possible that PKP could decide to pass the lower costs on to its passengers in the form of lower prices • PKP may also be more efficient because it is not duplicating resources, such as the railway tracks, used by competitors • This may have helped PKP to meet the transport needs of the state; one of its aims • PKP may also be able to innovate due to its lower (long-run) average costs, meaning it may be able to provide a high-quality service on its trains **AO4** • However, as it has few competitors, rail passengers and those transporting freight have little choice but to use PKP's service • This means PKP can be a price maker for its train services, which is not in the interest of its consumers • There is restricted choice in the market, such as which routes a passenger can take. This is because there is only one main supplier • PKP may be inefficient because it does not need to keep its costs low in order to compete with limited competition • It may be that PKP does not have any incentive to spend money on product innovation and some areas may not have access to train travel

Type MS · Small and large firms, and why firms stay small

Answer 8 of 10 · Question 2 part f · 2 marks

2023 JUN · Paper 01 · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Small and large firms, and why firms stay small

Answer 8 of 10 · Question 2 part f · 2 marks

2023 JUN · Paper 01 · extract 6 of 6 · find part f in this mark scheme extract

Question number		Mark
	Income elasticity of demand (YED) for a product is -0.43 and the price elasticity of demand (PED) for the same product is -0.27. The data above shows that the product is **Answer**	

Type MS · Small and large firms, and why firms stay small

Answer 9 of 10 · Question 3 part a · 1 mark

2023 NOV · Paper 01 · extract 1 of 6 · find part a in this mark scheme extract

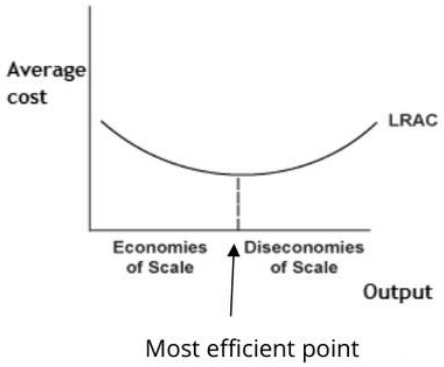
3(a)	**AO1 1 mark** The only correct answer is: **B** To sell a niche product A is not correct because bureaucracy should be reduced C is not correct because risk cannot easily be spread D is not correct because there is less chance of taking over competitors	**(1)**

Question number	The introduction of a minimum wage above the equilibrium wage in a labour market, is most likely to: **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **D** decrease quantity of labour demanded and increase the wage rate A is not correct because employers are less likely to demand labour and the wage rate will be higher than the equilibrium B is not correct because employers are less likely to demand labour C is not correct because the wage rate will be higher than the equilibrium	**(1)**

Type MS · Small and large firms, and why firms stay small

Answer 9 of 10 · Question 3 part a · 1 mark

2023 NOV · Paper 01 · extract 2 of 6 · find part a in this mark scheme extract

Question number	On the diagram below, draw and label economies of scale, diseconomies of scale and the point at which the firm is most efficient. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for economies of scale labelled Award 1 mark for diseconomies of scale labelled Award 1 mark for point at which firm is most efficient labelled  Most efficient point	(3)

Type MS · Small and large firms, and why firms stay small

Answer 9 of 10 · Question 3 part a · 1 mark

2023 NOV · Paper 01 · extract 3 of 6 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse why education in Japan may be an external benefit. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • External benefits are positive spillover effects from the production or consumption of a good/service which allow third parties to benefit • Education, such as the system provided in Japan would provide an external benefit to people who do not receive the education themselves • This is because students may do socially useful or highly skilled jobs in the future • Therefore, productivity will be higher and so will the standard of living for society, in a country such as Japan • As a result, future generations may benefit from the consumption of education by others, even if they did not receive (a high standard of) education themselves

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
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Type MS · Small and large firms, and why firms stay small

Answer 9 of 10 · Question 3 part a · 1 mark

2023 NOV · Paper 01 · extract 4 of 6 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the benefits to Simona of making these changes. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Business aims may include maximising profit, caring for customers, completing charitable work or maximising sales/revenue • Simona prioritises caring for her customers by charging low prices and being flexible with appointment times • This flexibility has led to problems with provision of hairdressing services due to delays and issues getting an appointment • Therefore, demand has reduced and revenue has fallen • This means that Simona has been unable to meet the loan repayments to her bank and may risk her hairdressing business failing • As a result, it may be a good idea to make these changes in order to increase revenue for the hairdressing business • This may help with financial difficulties as well as reduce the late/cancelled appointments **AO4** • However, some customers may visit the hairdressers due to the low prices • The customers may also welcome the flexibility of the services offered, encouraging them to return and giving Simona's business a good reputation • This may mean a price increase and/or fee for late arrivals/cancellations could reduce custom • Therefore, making these changes may lead to further financial problems rather than resolving them • It may be more important to focus on caring for customers by managing appointment times more carefully • As a result, Simona may be able to continue to prioritise caring for customers but at the same time solve some of her financial issues

Type MS · Small and large firms, and why firms stay small

Answer 9 of 10 · Question 3 part a · 1 mark

2023 NOV · Paper 01 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
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Type MS · Small and large firms, and why firms stay small

Answer 9 of 10 · Question 3 part a · 1 mark

2023 NOV · Paper 01 · extract 6 of 6 · find part a in this mark scheme extract

Question number	Calculate, to two decimal places, the **percentage change in profit** for the firm between 2020 and 2022. You are advised to show your working. **Answer**	Mark

Type MS · Small and large firms, and why firms stay small

Answer 10 of 10 · Question 3 part a · 1 mark

2025 NOV · Paper 01 · extract 1 of 7 · find part a in this mark scheme extract

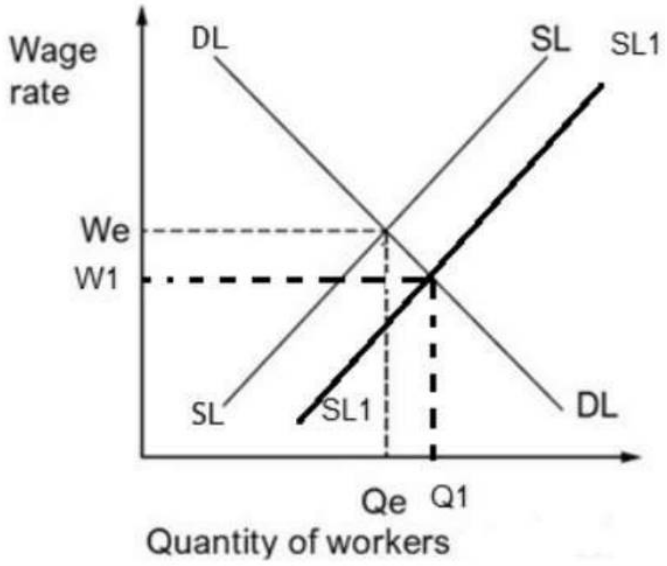
3(a)	**AO1 1 mark** The only correct answer is: **D** Aims of the entrepreneur A is not correct because a small firm is unlikely to have the power to take over any other firm B is not correct because a small firm is likely to have limited sources of finance C is not correct because a small firm cannot spread risk	**(1)**

Question number	Which **one** of the following describes a price elasticity of supply (PES) of 1.5? **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **C** Price elastic A is not correct because this would be 1 B is not correct because this would be 0 D is not correct because this would be less than 1	**(1)**

Type MS · Small and large firms, and why firms stay small

Answer 10 of 10 · Question 3 part a · 1 mark

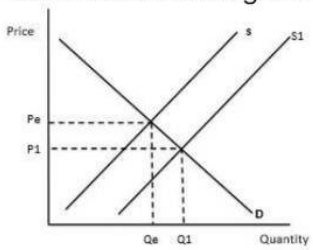
2025 NOV · Paper 01 · extract 2 of 7 · find part a in this mark scheme extract

Question number	Using the diagram below, draw the effect of a decrease in the school-leaving age on the labour market in this country. Label the new curve, the new equilibrium wage rate and the new quantity of workers. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for a rightward shift in the supply of labour, labelled Award 1 mark for a lower equilibrium wage rate, labelled Award 1 mark for a higher quantity of workers, labelled  	(3)

Type MS · Small and large firms, and why firms stay small

Answer 10 of 10 · Question 3 part a · 1 mark

2025 NOV · Paper 01 · extract 3 of 7 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how natural factors, such as favourable weather conditions, may affect the market for olive oil in 2025. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Possible use of a diagram:  • Natural factors, such as favourable weather could shift the supply curve outwards/to the right (from S to S1) • Favourable weather can increase supply because it can make it easier to grow olives and therefore make it cheaper to produce olive oil • Greece's production was expected to increase by 100,000 tonnes from the previous year in the 2025 season (Qe to Q1) • This will therefore result in a decrease in the price (from Pe to P1) if demand stays the same • This is evident from the expected fall in price of olive oil by at least 50%, from €10 000 per tonne to between €4 000 and €5 000 per tonne

Type MS · Small and large firms, and why firms stay small

Answer 10 of 10 · Question 3 part a · 1 mark

2025 NOV · Paper 01 · extract 4 of 7 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity andorganisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Small and large firms, and why firms stay small

Answer 10 of 10 · Question 3 part a · 1 mark

2025 NOV · Paper 01 · extract 5 of 7 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the benefits to Fitnation of offering the discounted price. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Fitnation may have aims that include maximising profit, caring for customers, completing charitable work or maximising revenue/sales • As Fitnation regularly offers discounted entry to city residents, making a profit is not its main aim • Instead, the aim could be described as completing charitable work, meaning the centre is contributing towards benefits for the country • Some people may visit the fitness centre because they like the aim of the business, therefore increasing custom • As a result, the profit of Fitnation may increase as well as an increase in sales due to it completing charitable work **AO4** • However, as fewer facilities are available for members one day a week, some may decide that paying a fee/price of between $25 and $50 is not in their best interests • This is because they cannot make the most of their membership and the money they paid, so they are not able to maximise their benefit • Therefore, the number of members/people paying full price to access the facilities at the fitness centre may decrease • This means that revenue may fall and it may be more difficult for Fitnation to make a profit

Type MS · Small and large firms, and why firms stay small

Answer 10 of 10 · Question 3 part a · 1 mark

2025 NOV · Paper 01 · extract 6 of 7 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
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Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Small and large firms, and why firms stay small

Answer 10 of 10 · Question 3 part a · 1 mark

2025 NOV · Paper 01 · extract 7 of 7 · find part a in this mark scheme extract

Question number	When the current level of output is 430 units of consumer goods, calculate the **opportunity cost** of producing an additional 80 units of consumer goods. You are advised to show your working. **Answer**	**Mark**